

On the overhead of 'business models'

Cite as: Martin Paul Eve, "On the overhead of 'business models'", *eve.gd: Martin Paul Eve*, May 29, 2020, <https://doi.org/10.59348/w598w-phe09>.



OLH, obviously, has a business model for its open-access publishing. We operate due to a membership model in which approximately 300 libraries pay an annual fee so that we can exist and publish all our work openly. It works pretty well and is able to sustain our activities – so long as the pandemic doesn't truly scupper us. [Please do join!](#)

But the overheads of running that business model are not trivial. Today, gathering the evidence to make the case for a single institutional renewal took me an hour. We're still not there yet. I would estimate that it's probably about 2 hours. If every one of our 300 institutions takes this long to renew, we are talking about 84 hours per year, or 12 working days (2.5 weeks at 7 hours per day).

New institutional signups are also tricky to process. Supplier forms are bespoke for every institution and probably take, as a conservative estimate, 1 hour per institution to correctly complete. Some, such as the procedure for institutions in Greece, take much longer as they require legally certified letters and all manner of fun. Let us say that we aim for 60 new institutions to join us per year, each with its own setup and supplier form, this is another 8.5 working days (nearly 2 weeks).

Chasing overdue invoices is another joyous task on a weekly basis. Keeping track of these and chasing institutions, we estimate, takes us, on average, 1.5hrs per week or 78 hours per year (11 days, another nearly 2 weeks).

Marketing to institutions, in various ways, takes a long time. This takes the majority of our efforts. Organizing events, interviews, blog posts, general promotion of articles that we've published on social media and elsewhere. One of the things that takes the longest is that, for every article that is published, we try to get in touch with the author and to ascertain whether that person's university is a member of OLH. If they are not, we write to the author to get them to ask their library to join. This is the most effective marketing technique that we have found. It is also incredibly labour intensive, as we try to provide authors with context-sensitive information and a sample letter that they can use to write to their librarian to highlight their own publication. Again, the effort here is non-trivial, especially when you are publishing hundreds to thousands of articles per year.

Then there are additional matters such as regulatory compliance, annual tax returns, annual charity returns, trustee meetings, etc. All of which *take time*.

All of this is to say that *running a business model* is expensive in terms of time and money. There is a point at which it is cheaper to sink the volunteer labour and not to bother investing in revenue generation that may be more appropriate for small organizations. Once you start taking money, you need to set aside a portion of that income just to sustain the revenue-generating activities, rather than using the revenue to perform the original publishing activities that you wanted to do.